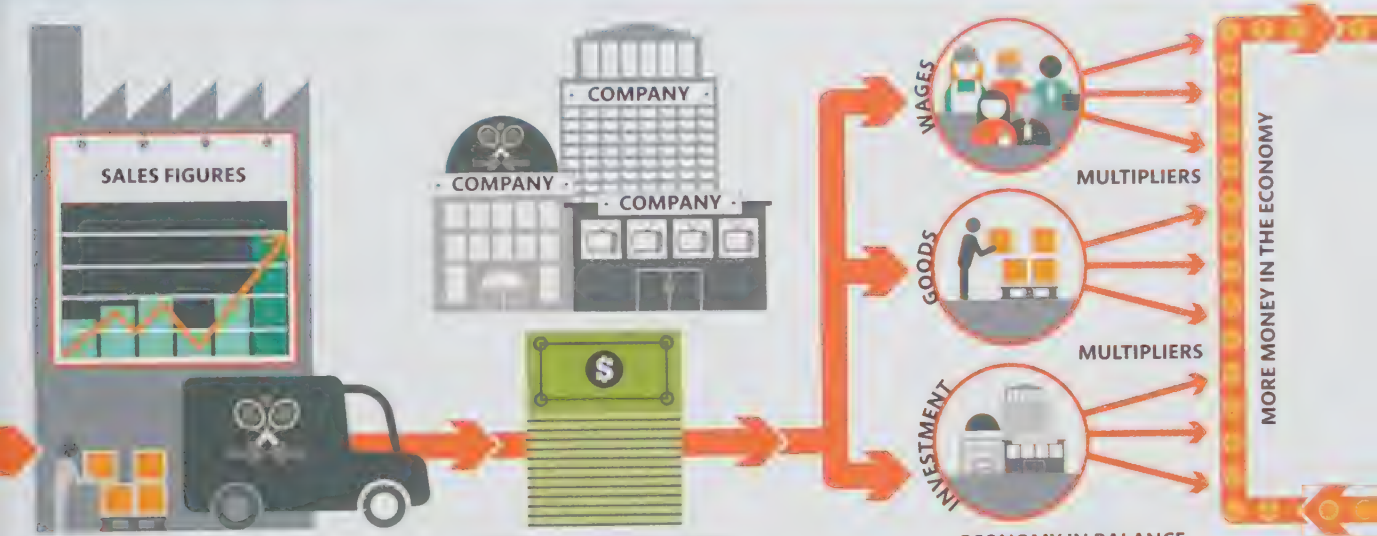
How it works

Scholars in the early 16th century were the first to note that the abundance of silver coming into Spain from the New World led to increased prices. Economists of the 18th-century Classical School believed that the market would correct for such imbalances, reaching an equilibrium price by itself. By the early 20th century, some economists believed that intervention by the government was necessary to maintain a balanced economy, arguing that government spending could boost employment by increasing overall demand.



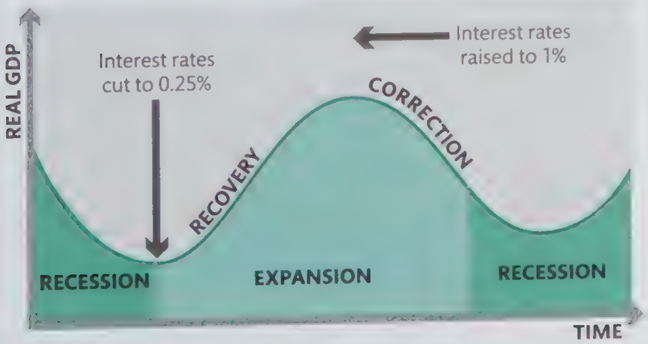
PRODUCTION INCREASE
With more people in employment, consumer spending rises. Increased demand leads to increased production.

BUSINESSES SPEND MORE
With demand rising, firms invest more, opening more factories and providing more employment.

ECONOMY IN BALANCE
With levels of investment and production high, and employment and wages rising, the stimulation of extra government spending is no longer needed.

Hayek's business cycle

Austrian economist Friedrich Hayek noted a cycle in the economy, in which interest rates fall during a recession. This leads to an overexpansion of credit, necessitating a rise in interest rates to counter excess demand.



Friedman's monetarism

Milton Friedman argued that governments could raise or lower interest rates to affect the money supply. Cuts would stimulate consumer spending; rises would restrict it and reduce the amount of money in the supply.